

their important clients by allotting them a higher number of shares than they did to the smaller institutional players. Domestic mutual funds, in particular, got a raw deal as merchant bankers gave priority to FIIs. Peeved at this discrimination, many of the marginalized institutional players complained to SEBI.

The regulator scrapped the discretionary powers and ruled that all institutional investors should be allotted shares proportionately if the issue was oversubscribed. Merchant bankers protested, saying the power to decide allotments helped weed out the short-term players among institutional investors looking to make a fast buck on listing. Encouraging short-term players would increase fluctuations in the stock price and scare away retail investors, they argued.

I found the argument hollow. The main reason for their opposing the removal of discretionary powers was the fear that it would diminish their importance among institutional clients. Also, there was no way to prove that the so-called 'long-term investors' actually stayed invested for the long term. I have seen plenty of flippers (investors who buy shares in IPOs to sell them on listing day) among long-term investors too.

Try as hard as they would, their arguments did not wash with SEBI.

Another good thing the regulator did was to ask institutional players to deposit 10 per cent of the value of the shares at the time they applied for them. Until then only retail investors had to pay up for shares – that too, the entire amount – at the time of application. This inequity allowed institutional players to bid for any number of shares since their money was not getting locked in.

Often, merchant bankers and even promoters would ask some of the reputed institutional investors to bid for a large number of shares in their issue. This would help create the impression that the issue was in demand with fund managers. Since merchant bankers had discretionary powers of allotment, the fund managers would not have to buy all the shares they had bid for either. In effect, these investors were lending their names to ensure the success of the issue.

In book-built issues, the friendly fund managers would bid for a large quantity of shares at the upper end of the price band. The other investors too were now persuaded to bid high or risk not being allotted shares if the final price was at the top end of the band. Having to put 10 per cent of the money